European Commission - Press release

Mergers: Commission approves Celanese's acquisition of DuPont's Mobility and Materials Business, subject to conditions

Brussels, 11 October 2022

The European Commission has approved, under the EU Merger Regulation, the proposed acquisition of DuPont's Mobility and Materials Business by Celanese. The approval is conditional on full compliance with commitments offered by Celanese.

Executive Vice-President Margrethe **Vestager**, in charge of competition policy, said: *"Celanese and Dupont's Mobility and Materials business compete head to head in the supply of thermoplastic copolyester, an essential input for the automobile sector. With their transaction, they would have a combined leading position in the market with only a few alternative suppliers. The commitments offered by Celanese, divesting a stand-alone business, fully remove our competition concerns as they ensure that a player will remain in the market."*

Celanese is a global chemicals and specialty materials company. **DuPont's Mobility and Materials Business** produces high-performance engineering thermoplastics, elastomers, pastes, filaments and advanced film.

The Commission's investigation

The Commission's investigation showed that, the parties compete in the **supply of engineering thermoplastics** to customers in the automotive, industrial and commercial, electric and electronic, and consumer-end markets.

Following the transaction, the combined entity would become the largest producer of thermoplastic copolyester (`TPC') in the European Economic Area (`EEA') and globally, with only a few alternative suppliers remaining. TPC is an engineering plastic mainly used for automotive, but also in industrial and commercial, electric and electronic, and consumer applications.

The proposed remedies

To address the Commission's competition concerns, Celanese offered to **divest its global TPC business**, including its production facility in Ferrara (Italy), **and the Pibiflex and Riteflex TPC's brands**.

The commitments consist of the divestiture of a stand-alone business, which fully removes the overlap between the parties' activities. This will enable a purchaser to run the divestment business as a viable competitive force in the market on a lasting basis. Celanese proposed to divest the business to Taro Plast S.p.a., an Italian producer of engineering plastics.

The Commission will formalise its conclusions on the purchaser in a separate buyer approval process.

Following the market test, the Commission concluded that the transaction, as modified by the commitments, would no longer raise competition concerns. The decision is conditional upon full compliance with the commitments.

Background

Celanese is a US global chemical and specialty materials company. Celanese produces high-performance engineered polymers that are used in a variety of applications, as well as acetyl products, which are intermediate chemicals for nearly all major industries.

DuPont's Mobility and Materials business is part of US DuPont de Nemours Inc. It provides high-performance engineering thermoplastics, elastomers, pastes, filaments and advanced films to engineers and designers across multiple industries.

Merger control rules

The transaction was notified to the Commission on 23 August 2022.

The Commission has the duty to assess mergers and acquisitions involving companies with a

turnover above certain thresholds (see Article 1 of the Merger Regulation) and to prevent concentrations that would significantly impede effective competition in the EEA or any substantial part of it.

The vast majority of notified mergers do not pose competition problems and are cleared after a routine review. From the moment a transaction is notified, the Commission generally has a total of 25 working days to decide whether to grant approval (Phase I) or to start an in-depth investigation (Phase II). If commitments are proposed in Phase I, the Commission has 10 additional working days, bringing the total duration of a Phase I case to 35 working days, such as in this case.

Throughout its investigation, the Commission had exchanges and cooperated with the US Federal Trade Commission, the UK Competition and Markets Authority, the Mexican Federal Economic Competition Commission, and the Brazilian Administrative Council for Economic Defense.

More information will be available on the Commission's competition website, in the public case register under the case number M.10721.

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